

# ARM

## ARM CEMENT LTD

(Formerly Athi River Mining)

Kenya • Tanzania • South Africa • Rwanda

### UNAUDITED GROUP RESULTS

#### FOR THE SIX MONTHS ENDED JUNE 30, 2013

| CONSOLIDATED INCOME STATEMENT                           | UNAUDITED<br>30.06.13<br>Ksh.'000   | UNAUDITED<br>30.06.12<br>Ksh.'000 | % INCREASE |
|---------------------------------------------------------|-------------------------------------|-----------------------------------|------------|
| Turnover                                                | 6,499,126                           | 5,073,987                         | 28%        |
| Profit Before Tax                                       | 1,015,317                           | 790,962                           | 28%        |
| Taxation                                                | (312,492)                           | (240,779)                         |            |
| Profit After Tax                                        | 702,825                             | 550,183                           | 28%        |
| Non Controlling Interests                               | 132                                 | (2,135)                           |            |
| Profit Attributable to Shareholders of Parent Company   | 702,693                             | 552,318                           | 27%        |
| Annualised Earning Per Share (Ksh.)                     | 2.83                                | 2.23                              | 27%        |
| CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT      | UNAUDITED<br>30.06.2013<br>Ksh.'000 | AUDITED<br>31.12.2012<br>Ksh.'000 |            |
| Share Capital                                           | 495,275                             | 495,275                           |            |
| Share Premium                                           | 302,027                             | 302,027                           |            |
| Capital and Other Reserves                              | 6,920,893                           | 6,216,469                         |            |
| Equity attributable to equity holders of parent Company | <b>7,718,195</b>                    | <b>7,013,771</b>                  |            |
| Non - Controlling interest                              | 106,881                             | 106,749                           |            |
| Total Capital and reserves                              | <b>7,825,076</b>                    | <b>7,120,520</b>                  |            |
| Non Current Liabilities                                 | 14,144,280                          | 13,329,740                        |            |
|                                                         | <b>21,969,356</b>                   | <b>20,450,260</b>                 |            |
| <b>Assets</b>                                           |                                     |                                   |            |
| Non Current Assets                                      | <b>20,729,010</b>                   | <b>19,016,690</b>                 |            |
| Working Capital:                                        |                                     |                                   |            |
| Current Assets                                          | 7,120,560                           | 7,936,410                         |            |
| Current Liabilities                                     | 5,880,214                           | 6,502,840                         |            |
| Net Working Capital                                     | <b>1,240,346</b>                    | <b>1,433,570</b>                  |            |
|                                                         | <b>21,969,356</b>                   | <b>20,450,260</b>                 |            |
| CONSOLIDATED CASH FLOW FOR SIX MONTHS ENDED             | 30.06.13<br>Ksh.'000                | 30.06.12<br>Ksh.'000              |            |
| Cash Generated before working capital changes           | 1,573,994                           | 1,149,299                         |            |
| Working Capital Changes                                 | 432,716                             | (521,467)                         |            |
| Cash Generated from operations                          | 2,006,710                           | 627,832                           |            |
| Net Interest                                            | (183,594)                           | (157,104)                         |            |
| Tax Paid                                                | (176,232)                           | -                                 |            |
| <b>Net Cash from Operating Activities</b>               | <b>1,646,884</b>                    | <b>470,728</b>                    |            |
| Net Cash used in Investing Activities                   | (2,019,467)                         | (1,102,235)                       |            |
| Net Cash from Financing Activities                      | 253,156                             | 312,859                           |            |
| <b>Increase/(Decrease) in Cash and Cash Equivalents</b> | <b>(119,427)</b>                    | <b>(318,648)</b>                  |            |
| At start of the Period                                  | 2,591,274                           | 337,133                           |            |
| Exchange rate changes                                   | (65,439)                            | 50,194                            |            |
| <b>At end of the Period</b>                             | <b>2,406,408</b>                    | <b>68,680</b>                     |            |



### RESULTS

The Board of Directors is pleased to announce the unaudited group results for the six months ended June 30, 2013.

Turnover for the first 6 months of 2013 increased by 28% to KES 6.5 billion over the corresponding period last year. This was driven mainly by increase in sales of Rhino Cement.

Group Profit Before Tax increased to KES 1.0 billion from 791 million, an increase of 28% over the first half of 2012. Profit After Tax of KES 703 million similarly grew by 28%.

The group generated KES 2.0 billion of cashflow from operations during the first six months of the year. This was principally applied in the ongoing investment in the Tanga clinker plant in Tanzania.

### OUTLOOK

The Group remains confident of maintaining its strong growth in the second half of the year. Rhino Cement is steadily gaining market presence across the region and the Tanzania operations are progressing as per plan.

### DIVIDEND

In accordance with past practice, the Board of Directors does not recommend an interim dividend for the year.

### By Order of the Board

**R. R. Vora**  
Company Secretary  
July 9, 2013